

Project Management Game Changer: Real-time Resource Planning & Optimization



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Introduction

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According to PMI,

70% of projects worldwide cannot be delivered on time and within budget.

This is an unfortunate reality across the industry! As a matter of fact, many projects fail to start on time. Some stakeholders abandon the project halfway if not satisfied with the progress and cut their losses. Projects are also considered a failure if they don't generate sufficient margin or fail to meet the ROI target. In short, a large number of the projects across the industry don't go as per the plan.

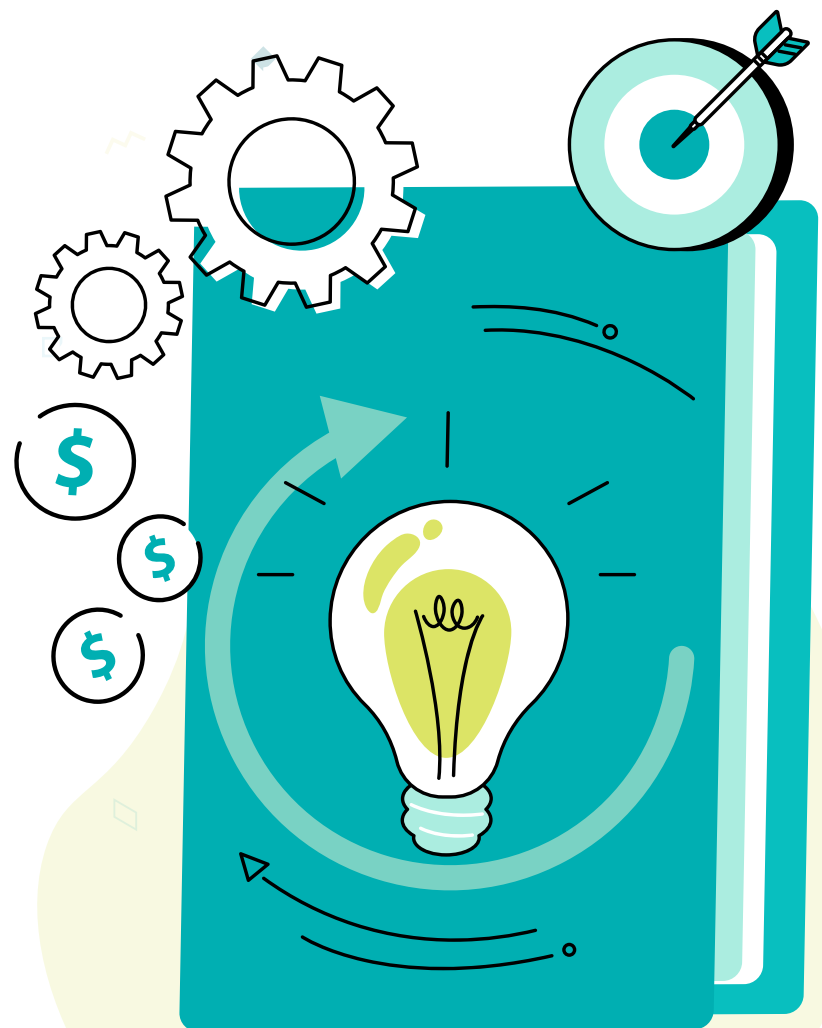
There are numerous reasons for these project failures. But, one of the most pertinent reasons is resourcing-related challenges. They can be resource crunch, unplanned hiring, employee burnout, mismatched allocations, skill shortage, escalating resource cost, etc. These challenges have an immediate adverse effect on the project plan and can cause delivery failure.



So, it is a no-brainer that the business must have an effective resource planning and optimization strategy. But the ground reality is that many organizations don't understand the severity of resourcing problems and their adverse impact on projects. These businesses accept this as a fact of life and don't tackle these challenges. At the most, a small fraction of enterprises do some basic resource planning using spreadsheets/home-grown software or entry-level tools. Unfortunately, all these solutions are rudimentary and not designed to address resourcing challenges of project failures.

This eBook has been designed to help businesses understand how project failures can be largely due to resources and can be resolved with effective resource planning and optimization.

Let's Get Started.





How do Projects Fail due to Resourcing Issues?

Resources are the key drivers of project success and contribute to a significant portion of the project cost. Therefore, any issue arising from them can prove to be expensive.

Here is a curated list of some of the resource-related challenges:

01

Project Delays due to Lack of Competent Resources

The most crucial step in project planning is identifying and allocating the right resource to the right task. However, with no foresight into pipeline project demands, managers often fail to predict resource requirements and start the requisition process. Therefore, to avoid the delay, resource managers end up assigning over/under skilled resources at the eleventh hour, thus compromising the quality of deliverables.

02

Project Budget Overruns due to Costlier Resources

While there can be many reasons that cause budget overruns, acquiring high-cost resources due to lack of visibility of the enterprise-wide workforce is the prominent one. At the same time, if the ad-hoc changes in the project are not factored in during the budget estimate, it may also lead to additional costs. Other cost-escalating factors include unplanned hiring or frequent hiring/firing cycles.

Reduce project resource cost by 10-30%

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03

Sub-par Project Deliverables due to Last Minute Hiring

Due to the inability to foresee and plan pipeline project demand, managers identify the skill gaps or resource unavailability at the last moment. As a result, they resort to last-minute hiring activities. Unfortunately, this hasty eleventh-hour hiring can lead to the recruitment of high-cost resources or those with a partially aligned skillset, which eventually compromises project quality.

04

Frequently Overloading Project Members causing Burnout

Sometimes, project managers overbook resources without having complete visibility of their available capacity and utilization. As a result, resources experience stress at work and eventually burnout. Another factor contributing to burnout is siloed data that can lead to double bookings, thus resulting in client dissatisfaction.

A recent report from Indeed found that 52 percent of employees face burnout regularly in an organization.



05

Sub-optimal Utilization of Project Team

Keeping your project members busy doesn't necessarily mean they are productive, as they could be occupied with non-billable work such as BAU or administrative activities. However, resources must spend maximum time on billable or strategic work to ensure profitability. If not planned carefully, it can lead to lost market opportunities.

86% of leaders believe succession planning is an “urgent” and “important” priority, yet only 13% believe they do it well.

06

Lack of Succession Planning for Critical Project Members

When any key resource leaves the company, it disrupts the smooth functioning of the project execution and hence must be filled immediately. However, in the absence of succession planning, managers find it difficult to fill a position for a long time. As a result, it may halt the project, increase the workload for existing employees, and even jeopardize the quality of deliverables.





What is Resource Planning and Optimization?

Here is a brief description of the major resource management components that help in projects' smooth execution and delivery.



What is Resource Planning?

Resource planning

is the comprehensive process of identifying, forecasting, allocating, and utilizing human and non-human resources most efficiently and intelligently. It helps allocate the right resource to suitable projects at the right time and cost. In other words, it is a systematic process to make the optimal use of resources based on their available capacity.



What is Resource Forecasting & Capacity Planning?

Resource forecasting

is the process that facilitates managers to estimate resource requirements for pipeline projects in advance. In addition, it helps predict project financials and resource utilization levels. Moreover, it also helps foresee which resources are likely to end up on the bench.

Capacity planning,

on the other hand, helps to identify resource excesses or shortfalls by analyzing the capacity vs. demand and taking necessary measures to bridge the gap ahead of the curve. Managers can implement suitable resourcing treatments such as adjusting project timelines, re-training employees or hiring a contingent or permanent workforce based on the requirements.



What is Resource Utilization & Optimization?

Resource utilization

is a key performance indicator that directly impacts on the firm's bottom line. It measures the amount of time spent by the employees on different project tasks against their total capacity.

Resource optimization

is the process of utilizing resources most efficiently and intelligently to achieve overall business goals. This helps make the right resource available at the right time, prevent over/ underutilization of employees, boost productivity, ensure project success, and make the business profitable.





How can Real-time Resource Planning and Optimization Enhance Project Success?

Real-time resource planning and optimization can help you proactively mitigate resource-related risks and bottlenecks.

Here's a rundown of how they can ensure project success:

1 Establish a Single Version of Truth for All Project Resources

An effective resource plan provides a single version of the truth across the enterprise. It consolidates resource-related information on a centralized platform, including skills, qualifications, experience, cost, present, and future schedules, availability, etc.

Moreover, it helps integrate the data from different applications into a single resource plan. This helps break silos of information, eliminate double data entry and data redundancy, etc. Finally, it helps project managers view project progress and resources' performance from a centralized dashboard.

2 Enable Timely Resource Allocation to Every Project

With foresight into project demand, managers estimate the skills requirement and initiate the requisition process at the planning stage. Accordingly, the resource manager analyzes and identifies the resources whose skill set aligns with the demand.

A futuristic resource management solution provides unmatched visibility into the workforce attributes such as skills, location, experience, availability, utilization, cost rate, etc. Then, using appropriate filters, managers can identify the best available best fit resource.

3

Forward Plan Pipeline Project Resource Requirements

Forward planning of future projects is an essential element of effective project management. It gives enough leeway to managers to prepare a resource plan, request resources, and provide enough lead time to carry out hiring/upskilling/etc. It helps avoid last-minute hiring activities and ensures the right resource is available before the project begins.

For instance, in case of any resource shortfalls, managers can conduct hiring and training activities for fulfilling any open position ahead of the curve. On the contrary, managers can coordinate with project managers and bring forward the project timelines, sell excess capacity, and more if there is an excess.

4

Optimize Project Team Utilization and Prevent Burnout

As mentioned earlier, improper workload distribution can cause employee burnout and lower productivity. To avoid this predicament, project managers can foresee resource utilization and optimize the resource schedule before it goes beyond the threshold. They can collaborate with resource managers and implement optimization techniques such as resource leveling or smoothing to achieve the same.

Resource smoothing is applied to time-sensitive projects, where managers can bring in more resources and ease the workload. On the contrary, resource leveling is applied to those projects that have the flexibility to extend the timeline. All these measures will help maintain the resource health index without affecting the project performance.

5 Monitor and Control Project Financials in Advance

Project budget is one of the major constraints that can make or mar the project. Thus, during the execution stage, managers must regularly monitor the planned vs. actual reports to track financial indicators such as cost, revenue, profit margins, and other overheads. It helps them compare the actual spending against the estimated budget and implement proactive measures to avoid cost overruns. For instance, if additional resources are required on the project, managers can form the right resource mix based on the cost rates and control project resource costs in advance.

“Financial management is an important aspect that determines the success of projects.”

- PMI



6

Facilitate Data-centric Decision Making at Every Stage

Advanced resource management solutions help gain real-time insights into all the necessary metrics such as availability, utilization, capacity vs. demand, people on the bench, etc. For instance, project managers can check the utilization heatmap to understand the utilization levels of their respective team members. In case they are overutilized, they can implement optimization techniques, and if they are underutilized, managers can inform resource managers to allocate them additional tasks.

Similarly, managers can view people on the bench, project vacancies, forecast vs. actual reports, etc., to make data-driven insights. Thus, managers can leverage the information and make informed decisions to maintain the resource and project health index.





Q4 How Saviom

has become a Game-changer in the Project Management Landscape?

Saviom's resource management software is a one-stop solution that enables firms to intelligently manage and utilize their talent in the project management landscape.

The advanced features of the tool will enable you to:



Reduce Project Resource Costs by 10-30%

Using the advanced forecasting solution, managers can foresee the demand and proactively plan and allocate the resources at the right time and cost. This minimizes last-minute firefighting or frequent hiring/firing cycles. Further, the enterprise-wide visibility of the tool also helps leverage cost-effective global resources across matrix boundaries, thus reducing project resourcing costs and improving profitability.



Maximize Profitable Utilization of Project Team by 10-20%

Saviom's resource management software provides foresight into resource utilization in terms of non-billable, billable, and strategic work ahead of time. Accordingly, managers can mobilize resources from non-billable to billable and strategic projects and enhance overall profitability.





Futureproof your Project Workforce against Market Volatility

The evolving technology trends are widening the skill gap within the organization. Therefore, to stay competitive, project managers can stay abreast of the trends and keep resource managers informed of the skills required for the future. Accordingly, resource managers can get insights into the skill gaps using a capacity planning solution and future-proof their resources by implementing training and upskilling activities.



Manage Project Constraints using Modeling & Simulation

Managers can leverage modeling and simulation techniques to create a best-fit resource plan. Using the resource management solution, managers can build and simulate multiple scenarios and analyze the impact of resource metrics on essential KPIs such as availability, utilization, capacity vs. demand, etc. and mitigate potential risks.



Data-driven Decision making for Successful Project Delivery

Saviom's resource management solution offers real-time business intelligence, helping you create intuitive and customized dashboards to make informed decisions. It also provides role-based access and avoids information overload. Using these data-driven insights, project managers can make the right decisions & implement corrective measures to ensure successful project delivery.

Saviom Solution

Saviom is a pioneer and leading global provider of Enterprise Project Resource Management Software.

Our client-centric culture has enabled us to help several fortune 500 companies across 50+ countries enhance their profitability / organizational efficiency. Some notable clients include Siemens, Fujitsu, Global Wind Services, DHL, Honeywell, Alix Partners, and more. Several years ahead of the market, the advanced features of our tool allow businesses to reduce resource costs, improve project margin, enhance employee productivity, minimize unplanned attrition, and increase client satisfaction. Moreover, it will cater to all your resource management challenges and ensure the successful delivery of every project.



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